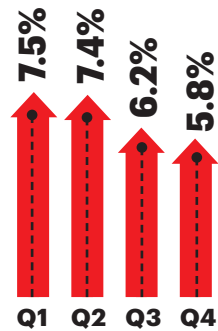


INFLATION OUTLOOK

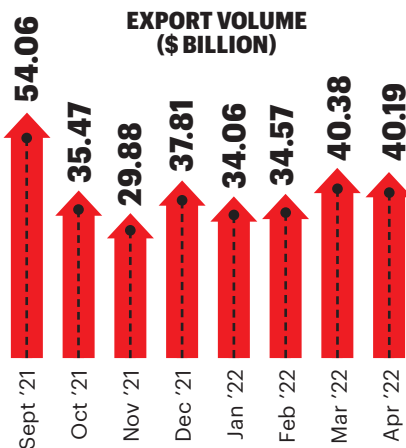
The RBI has forecast a gradual fall in inflation rates over the year with an estimate of 6.7 per cent for FY23



Source: Reserve Bank of India

MERCHANDISE EXPORTS

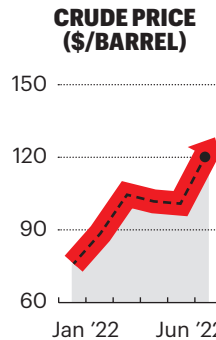
Despite the global turmoil, India's exports have increased over the past quarter



Source: Ministry of Commerce

CRUDE OIL BURNS

Consistently high crude oil prices are feeding inflation across sectors in India and abroad

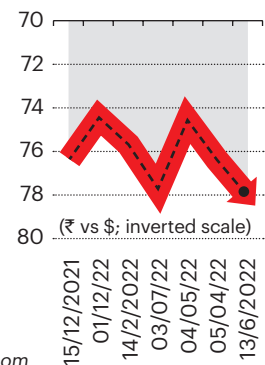


Source: tradeeconomics.com

RUPEE'S STORY

The rupee has had a tumultuous time since the Russia-Ukraine war broke out

RUPEE VALUE AGAINST DOLLAR



global prices and import duty. You have reduced the duty on palm, sunflower and soya oil, but the duty on mustard, groundnut and cotton seeds oil are still at 38.5 per cent. That inflation remains sticky and it will not come down." He says inflation in FY23 will be 6.5-7 per cent, if the economy is managed well. And pegs GDP growth at 7.5 per cent.

A **NOTHER ASPECT** fuelling inflation with the potential to hit growth forecasts is the volatility in crude oil prices. Narendra Taneja, a leading energy expert, believes that the next one year will be a tough one from that perspective. In addition, he sees India being more vulnerable because its dependence on imported oil is around 85 per cent. "If the Ukraine-Russia [conflict] is brought under control, then we will see oil prices come down to maybe around \$95-105 per barrel for some time. But when you look at the medium- to long term, in a situation when sufficient investment has not gone into oil exploration and production, oil prices can be \$100-120 per barrel, and maybe two to three years from now, \$120-140 per barrel on a sustained basis," says Taneja.

According to Garg, trade is a big determinant of the nation's growth. Underscoring the importance of exports, Federation of Indian Export Organisation's Director General and CEO Ajay Sahai says that in the growth of FY22, India's 50 per cent increment came from exports: "We had

\$130 billion growth in merchandise and \$45 billion in services, taking total exports growth to \$175 billion."

The Indian currency, meanwhile, has been in free fall ever since the Russia-Ukraine war began. At the outset of the war, the rupee was in the range of ₹73-74 to the US dollar. It then breached the ₹77-mark and hit an all-time low of ₹78.29 against the dollar in early trade on June 13. Many analysts expect the rupee to drop even further to around ₹79-80 against the dollar. The depreciating rupee is also impacting trade by raising import costs for India.

But Garg is not too worried by the depreciation of the rupee: "If the rupee depreciates, it discourages imports as they become costlier and people start reducing import consumption, but exports get a boost, so this bit works better for the external economy and for the domestic economy, too. So, if the rupee touches an all-time low and interest rates are allowed to go up, we should see the beginning of an improvement cycle in the economy that will aid economic growth," he says.

Singhal of QuantEco sees global growth as a big concern from an exports perspective and dubs currency depreciation as less of a concern. "Historically, the pace of global growth had far greater impact than currency on Indian exports. So, when the currency is depreciating, and global growth incrementally slowing, there is definitely going to be a downside as far as our exports are concerned. So last year's export growth story will not be